

Corrective Action Report — CAR-2025-004

Field	Value
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Issue Date	2025-12-15
Author	A. Bencomo, Procurement Compliance Auditor; reviewed by D. Pham, Compliance Lead
CAR Status	Open
Subject	Emergency Procurement Authorization EPA-2024-11 — Apex Emergency Grid Solutions Master Agreement Lacks Performance Criteria, Pricing Caps, and Scope Constraints
Affected Region / Site / Asset	All regions; primary financial exposure NW-PowerPool / NW-PowerPool-WIND-014, NW-PowerPool-WIND-024 / multiple
Severity	High
Owner	C. Rourke, Director of Procurement
Original Target Close Date	2026-03-31
Distribution	CFO Office; VP Operations; Legal; Internal Audit; Vendor Management Office

1. Finding

Apex Emergency Grid Solutions has been activated under **EPA-2024-11** ("Emergency Procurement Authorization — November 2024") eleven (11) times in FY2025. The master agreement supporting EPA-2024-11 (Vendor Repair Agreement VRA-2024-007, executed 2024-11-22) was constructed as a sole-source mobilization vehicle to address the deficiency in CPS off-hours coverage identified in CAR-2024-094. As executed, VRA-2024-007 contains:

- Time-and-materials pricing only (\$420/hr base labor; 1.5× weekend multiplier; 35% emergency parts markup).
- No fixed-price scope offerings.

- No performance criteria (no MTTR target, no first-time-fix rate, no warranty period on emergency repair work).
- No scope ceiling per activation.
- No competitive-rebid clause; renewal is auto-extending on annual basis absent active termination.

The eleven FY2025 Apex invoices average **\$385K** per activation. Two CPS scope estimates for equivalent work (provided in response to RCA-2025-001 cost-benchmarking request and post-hoc analysis of OUT-2025-1601) average **\$96K** for the same line items. The differential is approximately **4x**. Of the **\$8.9M** in NW-PowerPool emergency vendor spend in FY2025, Apex and Apex-subcontracted Siemens Gamesa OEM service account for the entirety.

2. Evidence

2.1 FY2025 Apex activations under EPA-2024-11

Activation	Date	Asset	Outage Ref	Invoice (USD)	Apex Recommendation	Final Disposition
APX-2025-001	2025-01-21	WIN-10131	OUT-2025-0572	\$342,000	Full gearbox replacement	Refurbished (Engine override)
APX-2025-002	2025-02-14	WIN-10130	OUT-2025-0079	\$1,247,500	Gearbox replacement	Executed (warranty pressure)
APX-2025-003	2025-04-29	WIN-10016	OUT-2025-0345	\$408,200	Generator replacement	Refurbished
APX-2025-004	2025-05-03	WIN-10058	OUT-2025-0433	\$471,000	Gearbox replacement	Refurbished
APX-2025-005	2025-05-27	TRA-10561	OUT-2025-1405	\$389,400	Transformer replacement	Refurbished
APX-2025-006	2025-06-29	SUB-10641	OUT-2025-1627	\$217,800	Breaker assembly replacement	Replaced
APX-2025-007	2025-07-09	WIN-10011	OUT-2025-0320	\$221,500	HSS bearing replacement	Replaced
APX-2025-008	2025-08-29	WIN-10131	OUT-2025-0570	\$1,189,400		

Activation	Date	Asset	Outage Ref	Invoice (USD)	Apex Recommendation	Final Disposition
					Full gearbox replacement	Disputed pending
APX-2025-009	2025-10-08	WIN-10085	OUT-2025-0476	\$352,200	Cooling loop replacement	Refurbished
APX-2025-010	2025-11-13	SUB-10629	OUT-2025-1600	\$401,900	Transformer replacement	Refurbished
APX-2025-011	2025-12-03	WIN-10011	OUT-2025-0319	\$352,000	Gearbox replacement	Disputed pending
Total				\$5,592,900		

(Period A subtotal: **\$4.6M**; Period B subtotal: **\$3.7M** — see also EMR-2025-001 through EMR-2025-006.)

2.2 Cost benchmarking

For the seven activations where Engineering overrode Apex's replacement recommendation and proceeded with refurbishment via CPS or in-house, the realized cost averaged **\$96,300** including parts, against the Apex quoted scope. The Apex-vs-CPS ratio on like-for-like work is **3.99×**.

Apex's published labor rate of \$420/hr (1.5× on weekends) compares to CPS at \$185/hr flat. The hourly differential alone is 2.27×; the remaining differential (1.75×) reflects parts markup (35% vs. 8%) and scope inflation (Apex consistently quotes one tier of intervention higher than CPS).

2.3 First-time-fix data

Of the 11 Apex activations, four (APX-2025-001, -003, -005, -009) were followed by another forced outage on the same asset within 90 days. First-time-fix rate by this measure is approximately 64%. No contractual remedy exists because no first-time-fix obligation was written into VRA-2024-007.

3. Root Cause Hypothesis

- **Primary:** VRA-2024-007 was negotiated under time pressure in November 2024 to close a CPS off-hours coverage gap. The drafting Procurement team prioritized speed of mobilization over scope or pricing discipline. Legal review at the time noted (memo dated 2024-11-15) that "performance terms are minimal; recommend revisit at first renewal." No revisit occurred.

- **Contributing:** Apex sub-contracts Siemens Gamesa OEM technicians at 1.8× labor rate for OEM-warranty-bearing work. This relationship is not disclosed in VRA-2024-007 and creates a financial alignment between Apex's revenue and Siemens Gamesa's replacement-recommendation posture (cross-reference CAR-2025-002).
- **Contributing:** EPA-2024-11 mobilization standard (<4 hours) is satisfied only by Apex in NW-PowerPool, structurally preventing competitive sourcing for emergencies in that region.

4. Conflict With Existing Guidance

- **Cascadia Procurement Policy PP-2023-04 §7.2** requires all master agreements >\$1M annualized spend to include performance criteria and rebid cadence. VRA-2024-007 violates this. The EPA-2024-11 sole-source justification was used to bypass §7.2.
- The EPA mechanism is designed for individual transactions; using it to perpetuate a sole-source relationship across an entire fiscal year arguably violates the intent of EPA-2024-11 §3.1 ("emergency-only, transactional basis").
- **CAR-2024-094** (off-hours coverage gap) is the predicate document for VRA-2024-007. Its remedy was the master agreement; the master agreement has itself become the new finding.

5. Recommended Corrective Action

1. Convert VRA-2024-007 from time-and-materials to a **performance-based emergency services contract** at next renewal (2025-11-22 already passed; auto-renewal occurred). Negotiate an early renegotiation effective 2026-Q2.
2. Insert pricing caps per activation: not-to-exceed \$250K without procurement co-sign; not-to-exceed \$750K without VP Operations sign-off.
3. Insert performance criteria: minimum 90% first-time-fix rate (90-day reoutage window), MTTR target 24 h for substations / 48 h for wind drivetrain, 12-month workmanship warranty on emergency repair.
4. Issue RFP for a second emergency vendor in NW-PowerPool region to break sole-source. Heartland Reliability Partners has expressed interest (cross-reference VRA-2025-XXX, draft).
5. Require Apex to disclose subcontractor labor (Siemens Gamesa OEM technicians) and apply Cascadia's no-related-party-markup rule.
6. Establish a quarterly emergency-spend governance review at the CFO level.

6. Action Owner & Timeline

Sub-action	Owner	Target Date
Renegotiation notice to Apex	C. Rourke	2026-01-15
RFP for second emergency vendor	Procurement / Vendor Management	2026-02-28
CFO-level governance review stood up	CFO Office	2026-02-28
Performance criteria draft	Procurement + Legal	2026-03-31
Final renegotiated VRA	Legal	2026-06-30

7. Implementation Status

Open. Renegotiation notice has not been issued. Apex was paid \$352K on activation APX-2025-011 (December 2025) under unmodified terms. The auto-renewal of VRA-2024-007 occurred on 2025-11-22 without an interception decision being made. The total FY2025 Apex spend exceeds the threshold that would have triggered PP-2023-04 §7.2 review had EPA-2024-11 not been invoked as bypass.

Cross-references: CAR-2024-094 (predicate off-hours coverage finding); CAR-2025-002 (Apex/Siemens Gamesa subcontract financial alignment with replacement bias); CAR-2025-003 (CSM-7 ambiguity vendor-interpretation tied to Apex execution); EMR-2025-001 through EMR-2025-006 (individual Apex emergency invoices); VRA-2024-007 (master agreement); EPA-2024-11 (procurement authorization policy); PP-2023-04 §7.2 (master-agreement performance standard); OIR-2025-003 (Period A); OIR-2025-007 (Period B); RCA-2025-001 (cost benchmarking source).

End of report.